

- 
- 
- 
- 
- 

## Chapter 12

### US Sales Tax Overview



# Introduction

The purpose of the US Sales Tax module is to support the legislative requirements for tax calculations within the United States.

Tax rates may differ between states, and between counties within an individual state.

Under these requirements complex situations can arise where an item attracts different tax rates across a number of legislative tax bodies.

Sales tax should be applied on sales that will not be resold or incorporated into other items for resale, for example, cars from a dealer. Sales tax would not be applied on the sale of car components from a manufacturer to a car assembler as the assembled car itself is subject to sales tax, however, if the manufacturer sells parts directly to employees, sales tax should be applied.

## Links to Other Applications

When the United States Sales Tax is installed, the following areas must be considered:

- Have the prerequisite applications been installed; and if so are they set up in a way suitable for the operation of United States Sales Tax?
- How will the functions of the United States Sales Tax application be used to greatest effect?

United States Sales Tax is a fully standardised System 21 product, and as such, operates under the control of Application Manager. United States Sales Tax extends the functionality of the base applications.

The following applications are prerequisites to the operation of United States Sales Tax:

- Application Manager.
- Inventory Management.
- Sales Order Processing and Invoicing.
- Accounts Receivable.
- General Ledger (If automatic posting to the General Ledger is required by the tax body.)
- Advanced Financial Integrator.

United States Sales Tax updates the standard sales order database by calculating sales tax for invoices and maintains a breakdown of tax values for each taxing body, per invoice.

The two character company code in United States Sales Tax identifies to which Sales Order Processing and Invoicing, Inventory Management, Accounts Receivable and Sales Analysis company it is limited.

The US Sales Tax application depends directly on data held in other applications. For example:

- Customer information from Sales Order Processing and Invoicing.
- Item and miscellaneous charge information from Inventory.
- Furthermore the US Sales Tax application effects the updates to other applications.
- Sales tax amounts within Sales Order Processing and Invoicing.
- Tax values in Accounts Receivable.
- Tax postings to the General Ledger.

### **General Ledger Posting**

For each invoice posted to the General Ledger from Sales Order Processing and Invoicing, the total tax amount for each tax body on the invoice is posted

separately to the General Ledger account code defined on the Chart of Accounts and to the tax body.

# Application Configuration

United States Sales Tax can be operated for a number of companies. The characteristics of these are defined within the other prerequisite applications. Additional configuration of United States Sales Tax company profile, tax body details, customer tax bodies and item or miscellaneous charge override tax rates need to be defined. Certain entries already exist for these on the item / tax body override file.

## **Basic Data Setup**

Having decided how US Sales Tax will be used in conjunction with other applications and which companies to use, you will need to plan and implement the setting up of the additional data required. The main elements you will need to create are:

- Tax Body details, rates and remit to addresses.
- Item and charge override rates.
- Customer tax body defaults.
- Item and charge tax codes.

A set of state and some city tax bodies and rates have been defined for the Z1 Demonstration company.

These can be copied for live companies, although tax rates are subject to change.

Some entries have also been defined to the Inventory descriptions file against the major types PSTC - Sales tax codes and USTT - Sales tax body types.

## Preparing to Use United States Sales Tax

Preparing to use the United States Sales Tax application requires careful planning and preparation. Your existing sales tax procedures and data need to be transferred to the application.

### **Entering Basic Data**

You must initialise your application by entering the following basic data:

- Company profile containing control and parameter information for the operation of your company within the application.
- Tax bodies, rates and override rates. These will be used in both Sales Order Processing and Inventory Management to establish the rates of Sales Tax payable as well as the body to which it should be paid.